interest at 7 percent. The rates became progressively higher as the slabs increased with the highest being 10.75 percent. Talwar observed in his speech in March 1974 that the application of these differential rates, given the variety of small units, brought into sharp focus the lesson that the 'same set of policies and attitudes may not be appropriate for the whole gamut.'[30] Talwar also expressed the view that larger units did not require the same kind of nursing as the small ones which suffered from certain handicaps in their struggle for viability. He felt that the growing units 'should reconcile themselves to stiffer discipline and normal cost of borrowing' given the fact that they would ultimately make the transition to the medium or large scale sector. He was equally forthright when he observed: 'Facile lending by banks on the basis of half-baked schemes might perhaps show them in better statistical light as far as creation of job opportunities is concerned. Such a course, however, is fraught with grave peril. Ultimately, small-scale units have to stand on their own legs, and their failure to do so will lead to frustration giving a setback to the much desired socio-economic transformation.'[31]

Despite the best efforts of the bank, many assisted units performed below par 'setting at naught all earlier projections.' During the five year period 1970–74, the number of non-performing loans rose from 167 in 1970 to 2,745 by the end of 1974. The amount so transferred increased from ₹1.57 crore to ₹13.32 crore during the period.[32] The bank conducted a study to pinpoint the reasons for some units falling so short of expectations. A team lead by J.S. Varshneya, then General Manager (Operations) Madras Circle, was given the task of pinpointing precise causes and to also suggest ways of detecting warning signals well in advance. The analysis revealed a variety of reasons for sickness but two important factors which were found to be common were: a lack of a fair equity base and deficiencies in management skills among entrepreneurs and promoters. Talwar in his speech before his shareholders in March 1975 dwelt on both these shortcomings. He was of the view that since the majority of the new entrepreneurs had little of their own funds to invest, the Central and State Governments should provide equity support since 'the first ill wind, therefore, seems to loosen the very roots.'[33] As regards developing management capabilities, Talwar agreed that this was a tougher proposition. The bank, he said, would not only provide a part of the cost of management courses at appropriate institutions but also